

**Table 51.9** Busted Patterns

| Description                         | Bull Market,<br>Up Breakout | Bull Market,<br>Down Breakout | Bear Market,<br>Down Breakout |
|-------------------------------------|-----------------------------|-------------------------------|-------------------------------|
| Busted patterns count               | 137 or 26%                  | 157 or 43%                    | 25 or 16%                     |
| Single bust count                   | 67 or 49%                   | 104 or 66%                    | 13 or 52%                     |
| Double bust count                   | 38 or 28%                   | 2 or 1%                       | 3 or 12%                      |
| Triple+ bust count                  | 32 or 23%                   | 51 or 32%                     | 9 or 36%                      |
| Performance for all busted patterns | −16%                        | 46%                           | 18%                           |
| Single busted performance           | −27%                        | 68%                           | 30%                           |
| Non-busted performance              | −16%                        | 48%                           | 33%                           |

**Busted patterns count.** I made mention of this earlier, but notice how downward breakouts in bull markets busted almost half the time (43%). Bear markets with downward breakouts bust the fewest number of times.

The 26% bust rate after upward breakouts in bull markets surprises me. Those trades usually sees price soar, so it has me puzzled that over a quarter of the time, price reverses quickly and closes below the bottom of the pattern so often.

**Busted occurrence.** When a pattern busts, it busts single, double, or more than twice (triple+). Notice that downward breakouts tend to see triple+ busts happen more often than double busts. I've seen this in other chart patterns, so it's not unique, but it is unusual and even disconcerting. It's nothing to lose sleep over.

**Busted and non-busted performance.** Non-busted patterns perform slightly better for downward breakouts but tie for upward breakouts.

If you can determine when price will single bust (only), that situation will lead to better performance than a non-busted pattern except in bear markets where non-busted patterns outperform.